

GLOBAL FX TRADER

From Energy Relief to New Fed Chief

Our thoughts on USD, EM Carry, JPY, CHF, AUD & NZD and EGP

- **USD: Something new and some things we're used to.** This FOMC meeting was very different from the last one, and from what was expected. We think, on net, the more hawkish FOMC stance matters more than the US-Iran MOU for the near-term Dollar outlook because it comes as a bigger surprise (after all, there has always been a baseline that the Conflict would come to a resolution at some point, and markets never priced a significant amount of stress), and because rate differentials have a larger and more consistent correlation with the Dollar than oil prices. So unless the Fed's more hawkish stance proves fleeting as oil prices move lower, we see this as replacing one positive Dollar factor with another, more powerful one. And in this context we think it is worth noting that, while oil prices were the initial catalyst for FOMC participants to begin their reassessment, strong AI-led US demand has been a major factor behind higher growth, inflation and pricing for the neutral rate since the start of the year. This degree of Fed support is new, but comes in part from factors that we believe have been helping Dollar demand for some time. This can create some indigestion for procyclical carry trades, but typically bear flattening puts most of the pressure on lower yielding currencies. Finally, it is worth noting that the message delivery was very different to what we have come to expect from the FOMC, but from an FX perspective we have seen a number of iterations of global central banks that have offered less transparency and a greater tendency to surprise. It can lead to higher volatility on the day of policy decisions. This could be more disruptive for the Fed given the Dollar's global role, which is a key reason why the Fed has generally tried to limit hawkish policy surprises even in times when it was providing less policy guidance. If communication about future policy decisions will be more limited on meeting days, it should transfer the volatility to both data releases and other forms of communication like policy speeches. That said, we expect that the less-centralized format of the FOMC will lead to less of a "regime shift" around both speeches and what data will drive policy decisions compared to some leadership transitions at other central banks.
- **EM Carry: From trade tailwinds to hike headwinds.** EM currencies have been on a round-trip over the last week, initially rallying on a conflict resolution but then depreciating following the more hawkish-than-expected FOMC (Exhibit 1). There is some correlation between the relative outperformance and subsequent

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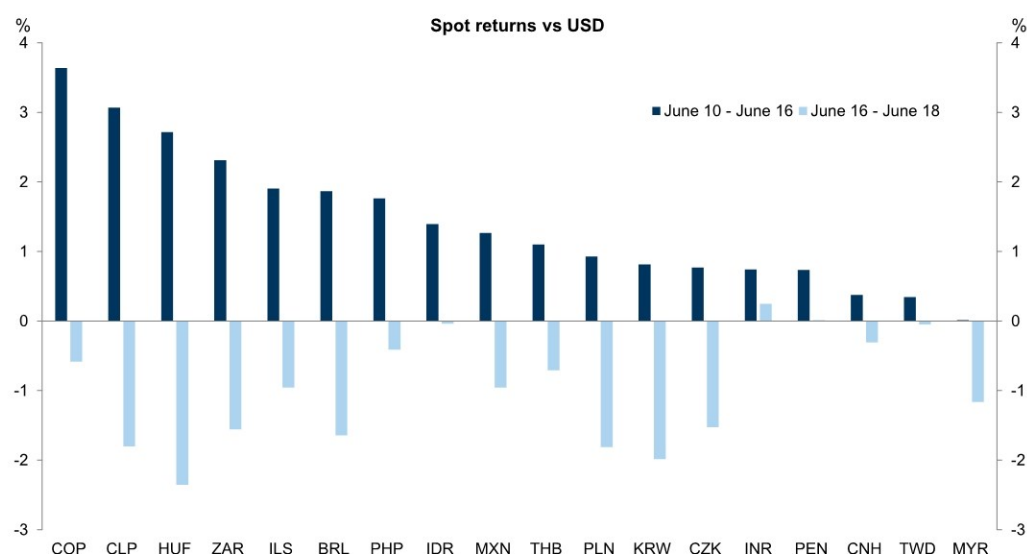
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underperformance, but notably lower-yielding currencies such as KRW, CZK and MYR have depreciated by more than they had appreciated on the resolution. We think this is consistent with the typical implications of a front-end-led US rates repricing, which is more negative for lower-yielding currencies. In this context, we think carry strategies can continue to deliver positive total returns even as the Fed path reprices further, as long as risk remains supported. However, the choice of funder becomes even more important in this setup: as we have shown before, in an 'equities up, rates down' regime, USD-funding typically outperforms, but in an 'equities up, rates up' backdrop, low-yielding funders like EUR or JPY help deliver positive spot returns (and higher total returns). Within EM, currencies like CLP and ILS can help neutralise the risk exposure and USD beta of carry baskets without a decline in carry returns. And, looking back, this divergence in high- vs. low-yielding currencies was a key feature of the 2021-2023 hiking cycles. One noteworthy feature of yesterday's price action was the relative outperformance of MXN, consistent with its broad Dollar beta. We have argued for including the Peso in a diversified carry basket given its sensitivity to US-specific cyclical pricing, and we think this is increasingly a stronger proposition if US relative outperformance remains in focus. The upcoming USMCA discussions are the main risk to this MXN outperformance view, but we have argued that this should be a more important driver for CAD than MXN. Elsewhere in LatAm, we think it makes sense to rotate some BRL length into COP if Colombian local developments remain supportive after the second round this weekend, whereas in Brazil, we expect rising political noise ahead of the October elections to lead to a deterioration of carry-to-vol ratios. And, to the extent that a hawkish COPOM has been an anchor of BRL stability, a more dovish delivery this week raises the risks of less central bank support into a noisier period.

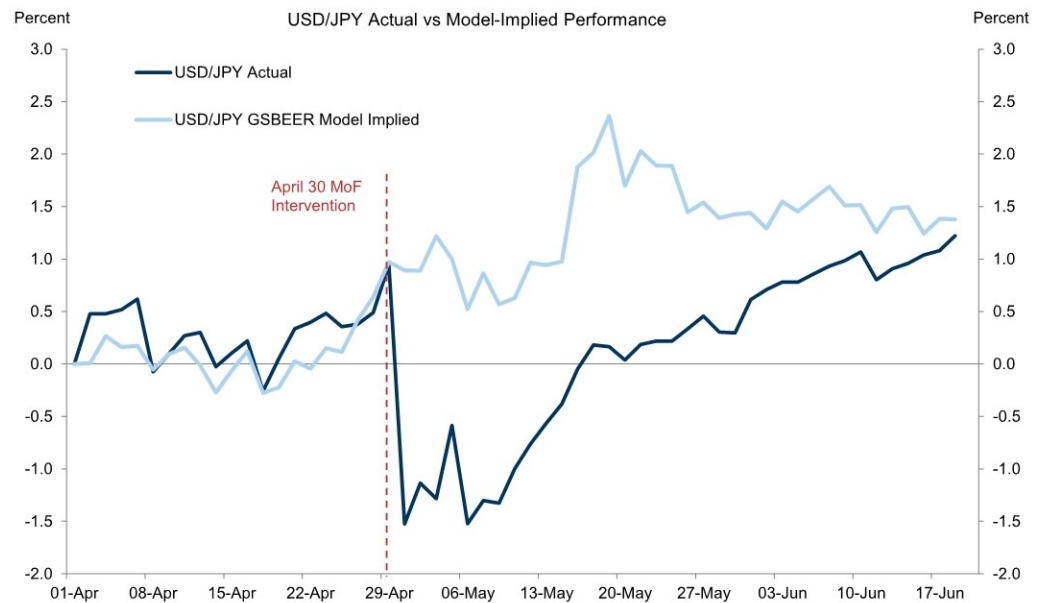
Exhibit 1: EM currencies have been on a round-trip over the last week, initially rallying on a conflict resolution but then depreciating following the more hawkish-than-expected FOMC



Source: Bloomberg, Goldman Sachs Global Investment Research

- **JPY: Grinding weaker.** The BoJ hiked rates at its June meeting and continued to signal additional hikes, but the pace remains too slow to offset broader JPY-negative fundamentals. Higher odds of more imminent Fed hikes have now added further upward pressure to USD/JPY. The Yen tends to weaken less versus the Dollar than most other currencies in a hawkish policy shock given the offsetting impulses of higher yields and weaker equities. But our GSBEER model suggests that the Yen still *outperformed* by roughly 15bp what fundamentals would have implied. That said, it *underperformed* the subsequent day—consistent with the diminishing effect from elevated intervention risk over the past month and likely in part due to the lack of policy response above 160 (Exhibit 2). The potential for additional operations still leaves outright USD/JPY longs less attractive though, despite the broader backdrop arguing for a weaker Yen. For that reason, we have preferred being short JPY against high-carry EM currencies. We continue to see the risks as skewed to the upside in USD/JPY as the incoming US data have remained resilient, the odds of Fed hikes have gone up, and domestic fiscal risks remain. A sharp reversal lower would likely require a rise in recession risk or shift towards a more hawkish BoJ, both of which continue to feel less imminent.

Exhibit 2: As macro fundamentals continue to justify a weaker Yen the impact of intervention risk has diminished



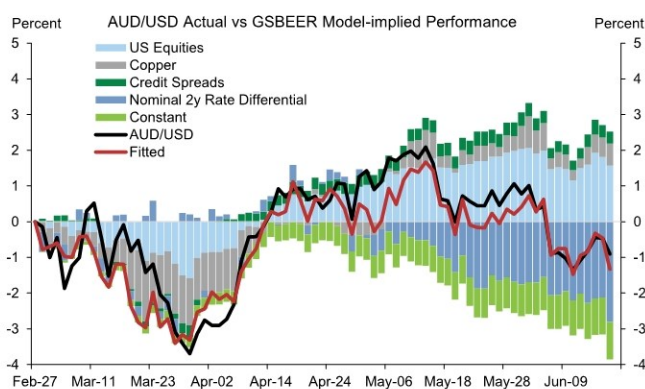
Source: Goldman Sachs FICC and Equities, Bloomberg, Goldman Sachs Global Investment Research

- **CHF: A tweak too weak.** The SNB remained on hold for a fifth consecutive meeting this week, in line with our economists' forecast and consensus expectations. We noted that we would be focused on the meeting statement for any incremental shift towards a more neutral currency stance though it was likely too soon to remove the CHF weaker bias completely given the still-low level of inflation. The SNB did soften its intervention bias slightly, adding "if necessary" to the previous language that it has an increased willingness to intervene to counter CHF appreciation. However, as we had outlined, this marginal change is likely insufficient to provide any tailwind to

the Franc. In a backdrop where many other central banks are hiking or considering hikes, a firmly on hold stance puts the SNB on the dovish end of the central bank spectrum and this dovish divergence should weigh on currency performance. In fact, Chair Schlegel noted that interest rate differentials to other major central banks had widened and were exerting downward pressure on the Franc. We agree and think the language change will prove mostly symbolic as it is not enough to shift this dynamic and expect continued CHF underperformance in the near term.

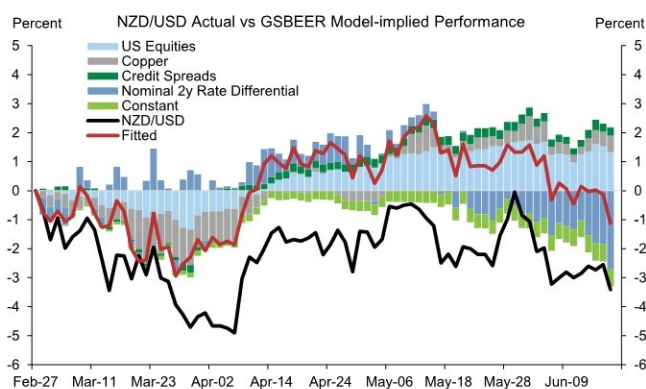
- **AUD & NZD: New headwinds.** The RBA unanimously voted to remain on-hold at the June meeting and maintained a tightening bias in the statement. Focus remained on upside risks to inflation while the recent string of softer activity and labor market data was somewhat discounted. Governor Bullock argued that slower growth should not be alarming and is necessary to lower inflation, but left the timing of any further tightening data-dependent, noting that “if inflation doesn’t respond in the way we expect it to, we might have to do more.” Our economists note that the RBA’s latest projections were calibrated on one additional hike in this cycle, and they maintain their call for a final 25bp hike in August. The deterioration in recent Australian macro data and an RBA nearing the peak of its cycle stand in contrast to New Zealand. There, data has improved, including the recent GDP print which showed an encouraging economic recovery prior to the energy shock and more hikes are priced for the RBNZ this year than for any other G10 central bank. Relative domestic conditions pushing in the same direction as a relaxation in energy prices is key to our view that AUDNZD should trend lower in the more medium term. But AUDUSD has moved more in line with fundamentals recently ([Exhibit 3](#)) while NZDUSD looks to have more room for catch up ([Exhibit 4](#)), making NZD longs vs the Dollar look more tactically attractive on de-escalation in our view. That said, NZD is typically an underperformer in a hawkish policy shock backdrop that sees equities move lower alongside higher yields, and yesterday’s FOMC meeting introduced a new headwind to any NZD outperformance.

Exhibit 3: AUDUSD has moved more in line with fundamentals recently...



Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

Exhibit 4: ...while NZDUSD looks to have more room for catch up

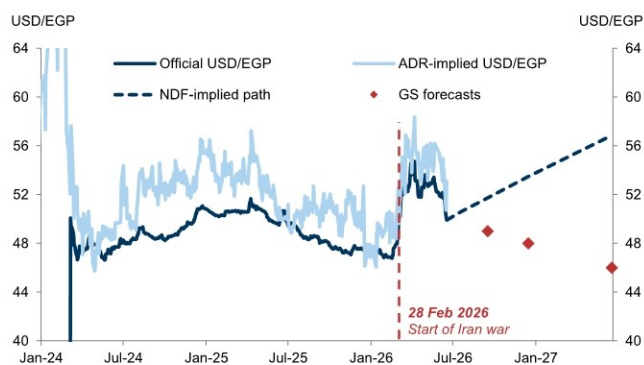


Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

- **EGP: More upside, but more gradually from here.** We stepped back into a long Egyptian Pound (EGP) view after the ceasefire announcement in April given limited

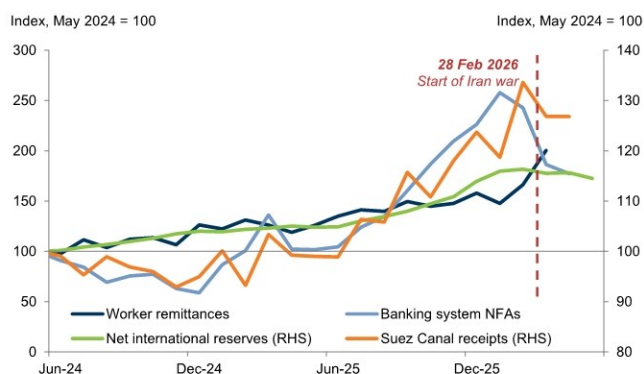
retracement and still solid fundamentals for a carry trade. In anticipation of an Iran-US deal earlier this week, EGP had partly retraced its war-related weakening, falling from ~52 to ~50 against the Dollar, i.e. more than 3%, in two sessions, albeit moving back a touch post the hawkish Fed. We remain constructive on EGP in the medium term, and reflecting this, we have introduced USD/EGP forecasts for a gradual appreciation, at 49/48/46 in 3/6/12 months ([Exhibit 5](#)). We see three reasons justifying further appreciation from here. First, even with the recent appreciation, EGP has only partly retraced its weakening since the war began, which was one of the largest on a volatility-adjusted basis in the EM and Frontier FX space. Second, despite the recent strengthening, EGP is still significantly undervalued according to our GSDEER and REER metrics. And third, in a good, but not great, macro backdrop for EM carry, Egypt's fundamentals and carry levels justify further increases in foreign positioning in local markets, supporting spot returns. The major risks to our view stem from a sustained hawkish pivot from the Fed and renewed focus on deep-tail growth and geopolitical risks. But we think the likelihood of a more front-footed rate hiking response to higher inflation and the resilience of external fundamentals ([Exhibit 6](#)) through the shock can limit spot volatility in such a scenario. Further, a high level of carry, particularly in local debt instruments, can amplify spot returns in the current benign environment and support total returns in a 'muddle through' scenario in which spot returns remain contained but tail-risk probabilities compress further, and we have extended the total return target of our short USD/EGP trade recommendation.

Exhibit 5: We forecast a gradual appreciation in EGP against the Dollar, and therefore see it outperforming forwards over the medium term



Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 6: Key measures of Egypt's external fundamentals have remained strong despite the Iran war



Source: Haver Analytics, Goldman Sachs Global Investment Research

Global FX Forecasts

	Current Spot	3-Month Horizon		6-Month Horizon		12-Month Horizon	
		Forward	Forecast	Forward	Forecast	Forward	Forecast
G10							
EUR/\$	1.15	1.15	1.14	1.16	1.18	1.17	1.20
£/\$	1.33	1.33	1.33	1.33	1.34	1.33	1.33
AUD/\$	0.70	0.70	0.72	0.70	0.73	0.70	0.74
NZD/\$	0.58	0.58	0.60	0.58	0.61	0.58	0.62
\$/CAD	1.41	1.40	1.40	1.40	1.38	1.39	1.38
\$/CHF	0.80	0.79	0.80	0.78	0.76	0.77	0.73
\$/NOK	9.62	9.63	9.30	9.64	8.98	9.66	8.75
\$/SEK	9.51	9.46	9.65	9.42	9.15	9.32	8.75
\$/JPY	161	159	160	158	158	156	155
EMEA							
\$/CZK	21.0	21.0	21.5	21.0	20.7	20.9	20.2
\$/HUF	305	306	311	307	297	308	288
\$/PLN	3.69	3.69	3.77	3.69	3.60	3.69	3.54
\$/RON	4.55	4.57	4.52	4.60	4.39	4.64	4.38
\$/RUB	75.18	75.18	80.0	77.33	85.0	81.23	90.0
\$/UAH	44.8	46.0	44.0	47.3	46.0	50.0	48.0
\$/TRY	46.38	50.04	48.0	54.12	50.0	63.28	54.0
\$/ILS	2.95	2.95	3.00	2.94	3.05	2.92	3.10
\$/EGP	49.9	51.7	49.0	53.4	48.0	56.7	46.0
\$/ZAR	16.39	16.51	16.50	16.62	16.00	16.84	15.75
\$/NGN	1360	1398	1325	1435	1300	1507	1250
Americas							
\$/ARS	1441	1514	1500	1604	1600	1795	1800
\$/BRL	5.11	5.23	4.90	5.34	5.00	5.56	5.00
\$/MXN	17.31	17.44	17.75	17.57	18.00	17.84	18.00
\$/CLP	891	890	920	890	900	890	860
\$/PEN	3.38	3.39	3.40	3.40	3.35	3.43	3.30
\$/COP	3444	3517	3600	3594	3700	3750	3750
Asia							
\$/CNY	6.76	6.72	6.80	6.67	6.70	6.58	6.50
\$/HKD	7.84	7.81	7.80	7.79	7.80	7.76	7.80
\$/INR	94.53	95.54	96.00	96.24	96.00	97.71	97.00
\$/KRW	1517	1511	1460	1508	1440	1501	1420
\$/MYR	4.07	4.05	3.90	4.05	3.80	4.02	3.70
\$/SGD	1.29	1.28	1.28	1.27	1.25	1.26	1.24
\$/TWD	31.6	31.7	31.5	31.8	31.0	31.8	30.5
\$/THB	32.58	32.53	34.00	32.39	33.50	32.08	33.00
\$/IDR	17738	17962	17000	18079	17100	18331	17200
\$/PHP	60.39	60.52	62.00	60.73	61.00	61.11	61.00
Euro Crosses							
EUR/GBP	0.87	0.87	0.86	0.87	0.88	0.88	0.90
EUR/CHF	0.92	0.91	0.91	0.91	0.90	0.90	0.88
EUR/NOK	11.06	11.12	10.60	11.17	10.60	11.28	10.50
EUR/SEK	10.94	10.93	11.00	10.91	10.80	10.88	10.50
EUR/CZK	24.15	24.23	24.50	24.30	24.40	24.42	24.20
EUR/HUF	351	354	355	356	350	359	345
EUR/PLN	4.25	4.26	4.30	4.28	4.25	4.31	4.25
EUR/RON	5.23	5.28	5.15	5.33	5.18	5.42	5.25
EUR/RUB	86.5	86.8	91.2	89.6	100.3	94.8	108.0

See dynamic table here (or click image above): <https://publishing.gs.com/content/themes/fx-forecasts.html>

Source: Goldman Sachs Global Investment Research

Return Forecasts & Valuations

	Current Spot	Forecast: 12-Month Return (%)				GSDEER			GSFEER				Average Estimate	PPP*
		Spot	Carry	Total	NEER	Estimate	Misalignment		Estimate	Misalignment				
							Bilateral	Trade-Weighted		Bilateral	Trade-Weighted			
G10														
EUR/\$	1.15	4.3	-1.5	2.8	2.6	1.20	-4%	8%	1.15	0%	1%	1.18	1.52	
GBP/\$	1.33	0.3	0.0	0.3	-2.4	1.22	9%	23%	1.27	5%	7%	1.24	1.50	
AUD/\$	0.70	5.5	0.6	6.1	1.9	0.81	-13%	9%	0.69	1%	12%	0.76	0.70	
NZD/\$	0.58	7.5	-1.0	6.3	3.9	0.67	-13%	3%	0.61	-5%	2%	0.64	0.67	
\$/CAD	1.41	2.2	-1.6	0.5	1.2	1.21	-14%	-9%	1.35	-4%	-1%	1.27	1.17	
\$/CHF	0.80	9.0	-4.1	4.6	6.4	0.84	6%	15%	0.810	1%	3%	0.83	0.92	
\$/NOK	9.62	9.9	0.5	10.5	6.4	6.38	-34%	-27%	8.92	-7%	-5%	7.40	8.87	
\$/SEK	9.51	8.7	-2.0	6.5	4.6	7.41	-22%	-13%	9.23	-3%	-2%	8.14	8.26	
\$/JPY	160.7	3.6	-3.0	0.5	1.0	93	-42%	-32%	132	-18%	-13%	109	93	
EMEA														
\$/CZK	21.00	4.1	-0.4	3.7	0.7	25.4	21%	31%	21.9	4%	4%	23.98	15.82	
\$/HUF	305	6.2	0.8	7.0	2.8	318	4%	12%	352	15%	13%	332	261	
\$/PLN	3.69	4.2	0.1	4.3	1.5	3.92	6%	16%	3.86	5%	4%	3.89	2.43	
\$/RON	4.55	4.0	1.9	6.0	--	--	--	--	5.41	19%	16%	--	--	
\$/RUB	75.2	-16.5	8.0	-9.7	-18.8	76.80	2%	19%	75.52	0%	5%	76.29	40.15	
\$/UAH	44.80	-6.7	11.6	4.9	--	--	--	--	--	--	--	--	--	
\$/TRY	46.38	-14.1	36.4	17.2	-15.4	32.15	-31%	-27%	47.07	1%	2%	38.12	29.15	
\$/ILS	2.95	-4.7	-1.2	-5.9	-6.4	3.54	20%	34%	3.06	4%	7%	3.35	4.70	
\$/EGP	49.92	8.5	13.6	22.2	--	--	--	--	--	--	--	--	--	
\$/ZAR	16.39	4.1	2.8	6.9	1.2	12.97	-21%	-12%	16	-3%	0%	14.12	18.40	
\$/NGN	1360	8.8	10.8	19.6	--	--	--	--	--	--	--	--	--	
Americas														
\$/ARS	1441	-19.9	24.5	4.6	-21.8	--	--	--	--	--	--	--	--	
\$/BRL	5.11	2.2	8.8	11.3	1.2	4.22	-17%	-3%	5.31	4%	9%	4.66	5.28	
\$/MXN	17.31	-3.9	3.1	-0.9	-5.2	19.33	12%	20%	17.49	1%	3%	18.59	20.29	
\$/CLP	891	3.6	-0.1	3.4	1.9	673	-24%	-11%	847	-5%	0%	743	787	
\$/PEN	3.38	2.4	1.5	3.9	1.0	2.75	-19%	-7%	2.91	-14%	-12%	2.81	4.24	
\$/COP	3444	-8.2	8.9	0.0	-9.2	3502	2%	16%	3773.4	10%	8%	3610	3298	
Asia														
\$/CNY	6.76	4.0	-2.7	1.3	1.6	5.02	-26%	-16%	5.84	-14%	-10%	5.35	5.82	
\$/HKD	7.84	0.5	-0.9	-0.5	-3.0	6.93	-12%	10%	6.64	-15%	-7%	6.81	5.85	
\$/INR	95	-2.5	3.4	0.7	-4.7	85.85	-9%	-1%	89.11	-6%	-5%	87.16	57.50	
\$/KRW	1517	6.8	-1.0	5.7	4.4	1169	-23%	-7%	1159	-24%	-23%	1165	929	
\$/MYR	4.07	10.0	-1.2	8.7	6.6	3.26	-20%	-3%	4.01	-1%	6%	3.56	1.95	
\$/SGD	1.29	3.9	-2.6	1.2	0.2	1.36	6%	26%	1.30	1%	7%	1.34	0.57	
\$/TWD	31.6	3.5	0.8	4.4	0.1	24.87	-21%	-2%	23.81	-25%	-20%	24.45	13.21	
\$/THB	32.58	-1.3	-1.5	-2.8	-4.5	30.99	-5%	16%	33.75	4%	9%	32.10	18.82	
\$/IDR	17738	3.1	3.3	6.6	0.0	14113	-20%	-4%	15918	-10%	-6%	14835	10885	
\$/PHP	60.39	-1.0	1.2	0.2	-4.2	58.94	-2%	20%	62.52	4%	12%	60.37	52.56	
Euro Crosses														
EUR/GBP	0.87	-3.9	1.5	-2.4	-2.4	0.98	14%	23%	0.91	5%	7%	0.95	1.01	
EUR/CHF	0.92	4.5	-2.6	1.9	6.4	1.01	10%	15%	0.93	1%	3%	0.98	1.40	
EUR/NOK	11.06	5.3	2.0	7.3	6.4	7.65	-31%	-27%	10.25	-7%	-5%	8.69	13.46	
EUR/SEK	10.94	4.2	-0.5	3.7	4.6	8.89	-19%	-13%	10.59	-3%	-2%	9.57	12.54	
EUR/CZK	24.15	-0.2	1.1	0.9	0.7	30.45	26%	31%	25.10	4%	4%	28.31	24.02	
EUR/HUF	351	1.7	2.3	4.1	2.8	381	9%	12%	405	15%	13%	391	396	
EUR/PLN	4.25	-0.1	1.6	1.5	1.5	4.70	11%	16%	4.43	4%	4%	4.59	3.68	
EUR/RON	5.23	-0.3	3.4	3.1	--	--	--	--	6.21	19%	16%	--	--	
EUR/RUB	86.5	-19.9	9.5	-10.4	-18.8	92.10	7%	19%	86.7	0%	5%	89.9	--	
Addendum														
USD	--	-1.9	-1.8	-3.5	-2.5	--	--	16%	--	--	4%	--	--	

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Source: Goldman Sachs Global Investment Research

Disclosure Appendix

Reg AC

We, Kamakshya Trivedi, Michael Cahill, Danny Suwanapruti, Teresa Alves, Karen Reichgott Fishman, Stuart Jenkins, Victor Engel and Lexi Kanter, hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.

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